UNDERGROUND ASSOCIATES

HR & ACCOUNTING HANDBOOK

Hiring, pay and the money, done right.

How we hire, verify and pay the team, how commission works, and how money comes in and goes out of Underground Associates.

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Underground Associates LLC · Cullman County, Alabama

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How to use this handbook

For the owner and whoever handles hiring, payroll and the books

1	Hiring someone new	the checklist, start to finish
2	Forms and where to get them	all free, all official
3	I-9 and E-Verify	required for every hire in Alabama
4	Employee or contractor	how to tell, and why it matters
5	Time clock and payroll	from shifts to paychecks
6	Time off and leave	vacation, holidays, sick days, FMLA
7	Commission	how the team is paid on sales
8	Money coming in	plans, payments, refunds, late fees
9	Money going out and records	costs, what to keep and for how long
10	Owner pay	draws, taxes, what a sale leaves
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NOT LEGAL OR TAX ADVICE

This handbook explains how we work and points to the official sources. Rules change. Confirm anything important with our accountant, the IRS, USCIS or the Alabama Department of Labor before relying on it.

1 Hiring someone new

Do these in order, every time, for every hire

1. **Make the offer**
   Agree on the job, pay (hourly, commission or both) and start date in writing. Only after they accept do any of the steps below.

2. **Form I-9, Section 1**
   The new hire fills it out on or before their first day of work.

3. **Form I-9, Section 2**
   Within 3 business days of their start date, you look at their original ID documents in person and complete Section 2.

4. **E-Verify**
   Within the same 3 business days, enter their I-9 details at e-verify.gov. You usually get a result in seconds.

5. **Tax forms**
   Federal Form W-4 and Alabama Form A-4 (Alabama does not accept the W-4 for state withholding). Give both to whoever runs payroll.

6. **Report the new hire to Alabama**
   Within 7 days of their first day, through the Alabama New-Hire program (online, or mail or fax a copy of the W-4 for small employers).

7. **Add them to the app**
   Settings → Team: name, their **company email** (tasks go straight to their Google Calendar and Tasks), and hourly pay if they're paid by the hour. Give them their Google sign-in.

8. **Training**
   Hand them the right handbook (caller or marketing), have them sign the sign-off line, and point them to Training in the app.

NEVER

Never run E-Verify on applicants before they're hired, never pick and choose who gets checked, and never ask for specific ID documents. The employee chooses which documents to show from the official list.

2 Forms and where to get them

Every form below is free from the official source

Form	What it's for	Where to get it	Who keeps it
I-9	Proves the person may work in the U.S.	uscis.gov/i-9	We do, on file (not sent anywhere)
E-Verify	Confirms the I-9 with the government	e-verify.gov (free, enroll once)	Case result kept with the I-9
W-4	Federal income tax withholding	irs.gov/w4	Payroll
A-4	Alabama income tax withholding	revenue.alabama.gov (Forms)	Payroll
New-hire report	Alabama child support / unemployment matching	labor.alabama.gov/NewHire	Filed online; keep the confirmation
W-9	Tax ID from an independent contractor	irs.gov/w9	The books, for year-end 1099s

ALWAYS USE THE CURRENT EDITION

Download each form from the official page every time. Older editions of the I-9 in particular are not accepted.

3 I-9 and E-Verify

Alabama law requires every employer to use E-Verify for new hires

E-Verify is free. Alabama's Beason-Hammon Act (2011) requires all employers in the state to enroll and check every new hire, and has applied since April 2012. Using it also protects us if a hire ever turns out not to be authorized to work.

Enrolling (once)

- Go to e-verify.gov and enroll the company.
- Sign the agreement (the MOU) and complete the short online tutorial.
- Keep the login with whoever does hiring.

For every new hire

1. **I-9 Section 1**
   The employee fills it out by day one.

2 **I-9 Section 2**
You inspect their original documents in person within 3 business days, for example a driver's license plus a Social Security card, or a U.S. passport.

3 **Create the E-Verify case**
Within 3 business days of the start date. Most come back "Employment Authorized" right away.

4 **If it comes back as a mismatch**
Give the employee the notice E-Verify prints, let them decide whether to contest, and do not fire or penalize them while it's being resolved. Follow the steps E-Verify shows.

Keeping I-9s

- Keep each I-9 for **3 years after the hire date or 1 year after they leave, whichever is later**.
- Store I-9s apart from regular personnel files; they hold ID details.
- Paper or scanned copies are fine. Never put ID numbers in the team app.
- You don't re-check people hired before we enrolled in E-Verify.

4 Employee or contractor

How someone is classified decides taxes, forms and E-Verify

Usually an employee if...	Usually a contractor if...
We set their hours or schedule	They choose when and how they work
They clock in with our time clock	They bill us per job or per invoice
We train them on our way of doing it	They bring their own methods and tools
They work mainly for us, ongoing	They have other clients and their own business

	Employee	Contractor
Forms at hire	I-9, E-Verify, W-4, A-4, new-hire report	W-9 only
Taxes withheld	Yes, by payroll	No; they pay their own
Year-end form	W-2	1099-NEC (check the IRS's current threshold)

WHEN IN DOUBT, TREAT THEM AS AN EMPLOYEE
Calling an employee a contractor can bring back taxes and penalties. Anyone on the app's hourly time clock should be treated as an employee. Ask the accountant about anyone unclear.

5 Time clock and payroll

The app tracks the hours; payroll pays them

How the team clocks in

- Anyone with an hourly rate gets a **Clock in / Clock out** card at the top of the Tasks screen, on the web app and the phone app.
- Hourly pay is set per person in Settings → Team → **Set hourly pay**. Leave it blank for commission-only people.
- Each shift keeps the rate it started with, so a raise only affects later shifts.
- Anyone on the clock for 10 hours gets flagged with an alert to the owner, in case they forgot to clock out.

Running payroll each week

1. **Open Timesheets**
   Owner or full access: Settings → Timesheets. Weeks run Monday to Sunday, Cullman time.
2. **Check every person's week**
   Look for missed clock-outs and shifts that look wrong.
3. **Fix a shift if needed**
   Tap the shift to change the date or times, or use Add a missed shift. The app records who made the change.
4. **Download the CSV**
   The payroll file has each person's hours and pay for the week.
5. **Add commission and paid time off**
   Commission from the Sales screen (chapter 7); paid vacation, holiday and sick hours from the time-off log (chapter 6) for the pay period.
6. **Pay through payroll**
   Hand the file to whoever runs payroll, or enter it in the payroll service. Payroll handles withholding and tax filings.

> **OVERTIME**
> Hourly employees who work more than 40 hours in a week are owed overtime under federal law. Check the weekly totals before paying.

6 Time off and leave

What the law requires of a company our size, and our own policy

No federal or Alabama law makes a private employer give paid vacation, paid holidays or paid sick days. What we offer is our choice, so it has to be written down and applied the same way to everyone. Once it's written, we must follow it, including what happens to unused days when someone leaves.

Our time-off policy

> **STARTING POLICY: THE OWNER SETS THE FINAL NUMBERS**
> The numbers below are a common starting point for a small Alabama business. Change them before giving this page to anyone, then have every employee sign a copy.

	Full-time (30+ hours a week)	Part-time hourly	Commission-only / contractors
Paid vacation	5 days after 90 days; 10 days a year after the first anniversary, earned a little each pay period	Unpaid time off, by request	None (they set their own schedule)
Paid holidays	New Year's Day, Memorial Day, July 4, Labor Day, Thanksgiving + the day after, Christmas Day	Office closed; unpaid	None
Paid sick days	3 days a year, for themselves or to care for family; no doctor's note for 1–2 days	Unpaid, no penalty	None
Carry over	Up to 5 unused vacation days into next year		
When they leave	Unused vacation is **not** paid out (Alabama doesn't require it, so this must be in writing)		

Asking for time off

1. **Ask early**
   At least 2 weeks ahead for vacation, by text or email to the owner. Sick days: text before the shift starts.

2. **Owner approves**
   Approve or decline in writing (a text is fine). Busy weeks can be declined; try to be first come, first served.

3. **Put it on the calendar**
   Add a Task in the app for the days off, assigned to everyone, so it shows on the team's Google Calendar.

4

Record it for payroll
The time clock only tracks hours worked, so keep a simple time-off log (name, date, hours, vacation / holiday / sick). Add paid hours to that week's payroll as a separate line.

FMLA (Family and Medical Leave Act)

Who it covers	What it gives
Employers with 50 or more employees within 75 miles, for 20+ weeks this year or last	Up to 12 weeks of **unpaid**, job-protected leave a year, with health insurance kept going
Employees who have worked here 12 months and 1,250 hours in the last year	For their own serious health condition, a new child (birth, adoption, foster), caring for a seriously ill spouse, child or parent, or certain military family needs

FMLA does not apply to us until we have 50 employees. Alabama has no state family-leave law for private employers. Until then we use our own policy:

- **Our family and medical leave (starting policy):** after 6 months, a full-time employee can take up to **6 weeks unpaid** for a new child, their own serious illness or injury, or caring for a seriously ill spouse, child or parent, and come back to the same job or one like it at the same pay.
- They can use any paid vacation and sick days first.
- Ask for a doctor's note or birth or adoption paperwork for anything over a week. Keep it in a locked file, apart from the personnel file.
- Treat every request the same way, and write down what was agreed.

Leave the law requires of every employer (even small ones)

Leave	What we must do
Jury duty (Alabama)	Give the time off and keep paying a **full-time** employee their usual wages while they serve. Never penalize anyone for being called.
Military service (USERRA)	Unpaid leave for service, and their job back when they return (up to 5 years in total).
Voting (Alabama)	Up to 1 hour unpaid to vote if the polls aren't open 2 hours before or after their shift. They must ask ahead.
Nursing mothers (PUMP Act)	Reasonable break time and a private place that isn't a bathroom to pump, for a year after the birth.
Workplace injury	Alabama requires workers' compensation insurance once we have **5 or more employees**. Get a policy before the fifth hire.

LAWS THAT START AT 15 EMPLOYEES
From 15 employees, the ADA, the Pregnant Workers Fairness Act and Title VII also apply. They can require leave or schedule changes as a reasonable accommodation. Talk to the accountant or an employment lawyer before we reach 15.

7 Commission

Set in Settings → Commission; the app does the math

What sold	What the seller earns
A new plan	One month of the plan up front, on the first payment
Every later payment	10% of each payment, for up to 24 months
Yearly plan paid up front	One month + 10% of the yearly payment, then 10% of each renewal
Month-to-month setup fee	20% of the setup fee
One-time and per-item extras	20% of what's charged
Priced-per-job extras	20% of what's charged
Founding-customer free extras	Nothing (they're free)

Split sales

- If one person had the first real contact and another closed the sale within 30 days, the opener gets 40% of the up-front bonus and the closer gets the rest.
- Ongoing 10% payments all go to the closer.
- If a client cancels or is refunded within 60 days, the commission on that sale is taken back.
- The owner's own sales don't earn commission; that money stays in the company.

Where to see it

- Everyone can open **What I'd earn** (Home or Settings) to see the commission on any plan, way to pay and extras.
- The **Sales** screen shows "Commission this month" per person. It's an estimate built from paid sign-ups; check it against Stripe before paying.

8 Money coming in

How clients pay us, and what happens when something goes wrong

How they pay	Card fees (Stripe)	Notes
Online (sign-up link, website Buy now)	2.9% + 30¢ per charge	Renewals charge the card on file automatically
Tap to Pay on our phone	2.7% + 5¢, plus 10¢ per tap	The tapped card becomes the card on file
Card typed on the phone	Same as online	Payment sheet in the phone app

How they pay	Card fees (Stripe)	Notes
Invoice (check or bank transfer)	None	Churches and some clients; Net 15 or 30

Plans and ways to pay

Plan	Per month	Who it fits	What's included
Basic	$49	Just needs to be found and get calls	Website on fast, secure hosting · small text, hours and photo updates · tap to call and directions on every page
Plus Lead with this	$89	Most businesses; anyone found on Google Maps	Everything in Basic · monthly visitor report by text · Google Business Profile tune-up · review QR cards for the counter
Pro	$149	Wants it all handled, or has lots of competition	Everything in Plus · monthly Google posts and photos · their own domain, bought in their name · business email · priority changes
Price list	$29	Stock changes daily; not ready for a website	Live price page · their own board to update from the phone · QR tags · tablet display · no minimum

Way to pay	Setup fee	Good to know
12-month plan	None	Our default. Billed monthly.
6-month plan	None	Same monthly price, shorter commitment.
Month to month	$299 one time	Cancel any time with 30 days' notice.
Yearly up front	None	12 months for the price of 10.

When a payment fails

- Stripe retries and the app alerts the owner.
- A $15 late fee can apply after 10 days, and interest of 8% a year after 30 days overdue (set in Settings → Sales).
- At 30 days overdue the site can be taken offline; at 60 days the agreement can end with the balance due. Reinstatement is $49.
- A chargeback counts as a missed payment plus the bank's $15 fee.

Refunds

- Only the owner (or full access) can refund, from the client's lead page → ↩ Refund.
- The refund dialog shows what's left to refund and repeats the agreement's refund rules.
- A full refund with the plan ended marks the sign-up unpaid, adds a note to the call log and alerts the team.

Referral credits

- When a referred business pays for a 6- or 12-month plan, the referring client gets 2 months of their plan free (up to 2 a year).
- If the client pays through Stripe, the credit comes off their next invoices automatically.
- If not, the app shows a "by hand" credit. Apply it on their next invoice, then mark it applied in the app.

9 Money going out and records

Know what we pay for, and keep what the law requires

Costs & usage

Settings → **Costs & usage** lists every outside service we pay for (Cloudflare, Google Workspace, Google Maps data, Claude AI, email and so on), what each costs this month, and how close we are to each free allowance. The monthly budget is set there (default $150). The app sends an alert when a free allowance is 80% used, a renewal is due within 30 days, or we go over budget.

Monthly close

- [ ] Match Stripe payouts to paid sign-ups in the app (Sales screen).
- [ ] Check Costs & usage against the actual bills.
- [ ] Apply any by-hand referral credits.
- [ ] Follow up on failed payments and open invoices.
- [ ] Pay commission for the month.

What to keep and for how long

Record	Keep for	Where
Form I-9 (+ E-Verify case result)	3 years after hire or 1 year after leaving, whichever is later	Locked file, separate from personnel files
Payroll and employment tax records	At least 4 years	Payroll service / accountant
Timesheets	At least 3 years (download the CSV each week)	With payroll records
Signed client agreements	As long as they're a client, plus several years	In the app (each sign-up keeps its signed PDF)
W-9s from contractors	At least 4 years	The books

BACKUPS

The app makes a weekly backup automatically, and the owner can download one any time from Settings → Team. Card and bank numbers are never stored by us; Stripe holds them.

10 Owner pay

The owner isn't paid commission; the owner is paid from profit

The owner's own sales earn no commission (Settings → Commission, "owner earns" off). That money stays in the company. Whatever the company has left after its bills and the team's pay is the profit, and the profit is the owner's. The owner takes it out as an owner's draw: a transfer from the business account to their personal account.

What one sale leaves in the company

First year, Plus plan ($89 a month, 12-month plan)	Caller closes it	Owner closes it
The client pays	$1,068	$1,068
Up-front bonus (one month of the plan)	−$89	$0
10% of the 11 later payments	−$98	$0
Stripe card fees (about 3%)	about −$35	about −$35
Left in the company	**about $846**	**about $1,033**

Running costs (Cloudflare, Google Workspace, Claude, domains, hourly pay) come out of what's left. Settings → **Costs & usage** shows them month by month. **What I'd earn** in the app shows the company's side of any plan, way to pay and extras.

Taking a draw

1. **Close the month first**
   Do the monthly close (chapter 9) so you know the real profit.
2. **Leave a cushion**
   Keep at least one month of running costs and next month's commission in the business account.
3. **Set aside taxes**
   Move about 25–30% of the profit to a separate tax savings account before drawing (see below).
4. **Draw the rest, or part of it**
   Transfer from the business account to your personal account and label it "Owner's draw" in the books. A draw is not payroll and nothing is withheld.

Taxes on owner pay

- As a single-member LLC, the owner is taxed on the **whole profit**, whether it's drawn out or left in the business.
- That means self-employment tax (Social Security and Medicare, about 15.3%) plus federal and Alabama income tax.

- Nothing is withheld from draws, so pay **quarterly estimated taxes** (IRS Form 1040-ES and Alabama Form 40ES). The usual due dates are April 15, June 15, September 15 and January 15.
- Once profit is steady, ask the accountant about electing **S-corp** tax status. The owner then takes a reasonable salary through payroll and the rest as distributions, which often lowers self-employment tax.
- If the company ever has more than one owner, how the profit is split (for example 60/40) goes in the LLC's operating agreement, not in the app.

> **KEEP MONEY SEPARATE**
> Pay personal bills from your personal account, never straight from the business account or card. Clean separation keeps the LLC's protection and makes taxes simple.

11 Cut-out cards

Cut along the dashed lines and keep them at your desk

New hire checklist

1. Offer accepted in writing
2. I-9 Section 1 by day one
3. I-9 Section 2 within 3 business days
4. E-Verify within 3 business days
5. W-4 and A-4 to payroll
6. Alabama new-hire report within 7 days
7. Add to app: email + hourly pay
8. Handbook + sign-off + Training

Payday checklist

1. Open Timesheets (Mon to Sun)
2. Fix missed clock-outs
3. Check for overtime (over 40 hours)
4. Download the CSV
5. Add commission from Sales
6. Send to payroll

Commission at a glance

Sale	Earns
New plan	1 month up front
Later payments	10% for 24 months
Setup fee	20%
One-time extras	20%
Split (30 days)	Opener 40% of bonus
Refund in 60 days	Taken back
Owner's own sales	No commission

Time off at a glance

What	Rule
Vacation	Ask 2 weeks ahead
Sick day	Text before your shift
Calendar	Add a Task for the days off
Payroll	Log paid hours separately
FMLA	Not until 50 employees
Jury duty	Full-time keep their pay

Where to get forms

Form	Site
I-9	uscis.gov/i-9
E-Verify	e-verify.gov
W-4	irs.gov/w4
A-4	revenue.alabama.gov
New hire	labor.alabama.gov/NewHire
W-9	irs.gov/w9

Keep records

Record	How long
I-9	3 yrs after hire / 1 yr after leaving (later)
Payroll and taxes	4+ years
Timesheets	3+ years
Contractor W-9	4+ years